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ECONOMIC SURVEYS BY THE OECD

GREECE

AUGUST 1964

ORGANISATION FOR ECONOMIC
CO-OPERATION AND DEVELOPMENT

PARIS

GREECE

BASIC STATISTICS

THE LAND

Area (1,000 sq. km)	130.9
Cultivated area (1,000 sq. km)	36.5
Major cities (census of 1961):	
—Greater Athens (including Piraeus)	1,853,000
—Salonika	374,000

THE PEOPLE

Population (census of 1962)	8,451,000
No. of inhabitants per sq. km	64
Natural increase in population per 1,000 inh. (annual average 1955-1960)	12
Labour force total (1961)	5,463,000
Agricultural labour force as a percentage of the total	49
Emigration (average 1962-1963)	92,300

PRODUCTION

Gross National Product in 1962 (millions of drachmaes)	103,136
G.N.P. per head (U.S. $)	407
Gross fixed investment (average 1961-1962):	
—Per cent of G.N.P.	20
—Per head (U.S.$)	77
Origin of G.D.P. at factor cost in 1963 :	
—Agriculture	30 %
—Industry	27 %
—Services	43 %

THE GOVERNMENT

Public current expenditure on goods and services in 1961 (percentage of G.N.P.).	18.1
General Government current revenue in 1961 (percentage of G.N.P.)	19.3
Public gross fixed investment in 1961 (percentage of G.N.P.)	7.8
Composition of Parliament:	
—Center Union	171
—Radical National Union	103
—Unified Democratic Left	22
—Others	4

Last election: 1964.
Next election: 1968.

LIVING STANDARDS

Calories per head, per day (1960)	2,900
Percentage of expenditure on food in private consumption (1960)	45
Steel consumption per head (1960)	52 kg
No. of passenger cars in use per 1,000 inhabs. (1962)	6
No. of telephones per 1,000 inhabs (1962)	28
No. of radio sets per 1,000 (1961)	70

FOREIGN TRADE

EXPORTS	
Exports of goods and services as a percentage of the G.N.P. (1963)	18.3
Main exports as a percentage of total exports (1962):	
—Tobacco	43
—Cotton	11
—Currants	12
—Raw materials	8

IMPORTS	
Imports of goods and services as a percentage of the G.N.P. (1963)	24,7
Main imports as a percentage of total impots (1963):	
—Durables consumer goods	32
—Raw materials	23
—Machinery	15
—Foodstuffs	19

THE CURRENCY

Monetary unit: drachma.

Currency unit per U.S. $	30

ECONOMIC SURVEYS BY THE OECD

GREECE

ORGANISATION FOR ECONOMIC CO-OPERATION AND DEVELOPMENT

The Organisation for Economic Co-operation and Development was set up under a Convention signed in Paris on 14th Decembre 1960 by the Member countries of the Organisation for European Economic Co-operation and by Canada and the United States. This Convention provides that the O.E.C.D. shall promote policies designed:

- *—to achieve the highest sustainable economic growth and employment and a rising standard of living in Member countries, while maintaining financial stability, and thus to contribute to the development of the world economy;*
- *—to contribute to sound economic expansion in Member as well as non-member countries in the process of economic development;*
- *—to contribute to the expansion of world trade on a multilateral, non-discriminatory basis in accordance with international obligations.*

The legal personality possessed by the Organisation for European Economic Co-operation continues in the O.E.C.D., which came into being on 30th September 1961.

The Members of O.E.C.D. are: Austria, Belgium, Canada, Denmark, France, the Federal Republic of Germany, Greece, Iceland, Ireland, Italy, Japan, Luxembourg, the Netherlands, Norway, Portugal, Spain, Sweden, Switzerland, Turkey, the United Kingdom and the United States.

This document was approved
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GREECE

INTRODUCTION

1. The overall trend of the Greek economy during 1963 may be described as satisfactory. Despite anxiety caused by bad weather in the early part of the year, crops were on the whole excellent and in some cases reached exceptional levels. Industrial production also made rapid progress. After a brief upswing in the first quarter of the year, prices, especially those of food, did not vary to any notable extent later. Lastly, the balance of payments, despite a further worsening of the trade balance, evolved favourably owing to a marked improvement in the balance of invisibles and in transfers of private capital.

2. These favourable results should not mask the persistence of structural weaknesses which are far from being resolved. The overall growth rate, for example, continues to depend closely on good or bad harvests. Compared with demand and the available labour force, industrialisation has made insufficient progress, and the share of industry (including mining and quarrying, electricity, gas, water, and construction) in the formation of the gross national product varies between 26 and 27 per cent, while that of manufacturing remains constant at 19 per cent, the share of agriculture varies between 27 and 31 per cent, and that of services ranges between 43 and 45 per cent. Furthermore, although for three years the average growth rate of agriculture has doubled the rate envisaged under the plan (7.1 per cent compared with 3.5 per cent) that of industrial production has constantly fallen short (7 per cent compared with 8.1 per cent). Neither does a lasting solution seem to have been found to the employment problem, apart from the effect of the large scale emigration of the last three years—and this is beginning to raise fresh problems that will be hard to solve in the medium term. At the same time, while unemployment is tending to diminish in the towns, under-employment is still heavy in the countryside. This is a problem bound up with the lowness of agricultural incomes and more generally with the inadequate standard of living of a large part of the Greek population. Lastly, the balance of payments, kept in equilibriem

by invisible receipts, transfers of private capital, and foreign aid, is showing a growing trade deficit; this is disquieting since it is due not to larger imports of capital goods but to bigger purchases of foodstuffs and consumer's durable goods.

3. These problems are lasting structural features of the Greek economy and the Government is trying to deal with them in a number of ways: it seems that in the years ahead the authorities will concentrate their efforts on achieving an indispensable rise in the standard of living and especially of agricultural incomes, on the further progress of industrialisation, and on the improvement of the trade balance.

4. The first part of this survey is devoted to the trend of economic activity in 1963 and in the early months of 1964. The second part describes the policy measures taken by the authorities to deal with the basic problems of the economy. The third and last part deals more specifically with balance-of-payments trends and problems; it was felt that it would be useful to treat this subject in some detail since it will strongly influence the whole course of the Greek economy in the years ahead.

I. RECENT TRENDS IN THE GREEK ECONOMY

5. According to provisional estimates the gross national product grew in 1963 by 7.6 per cent (in volume) compared with 3.1 per cent in 1962 and 5.7 per cent in 1961. This was the result of a rise of 8.8. per cent in value added in the agricultural sector, of 7.3 per cent in industry, and of 5.6 per cent in services, while net income from abroad probably increased by about 20 per cent. On the whole it was once again agriculture, accounting for nearly 29 per cent of the formation of the gross domestic product, which had the biggest influence on the growth of the Greek economy. As far as the use of resources is concerned there was a sharp increase in private consumption (+ 7.2 per cent in volume) and in private investment (+ 12.8 per cent).

Factors of supply

6. The bad weather in the early months of 1963 caused some anxiety about the volume of agricultural production. In the event it was only cereals that suffered, and the losses here were more than offset by bigger spring crops of other products, chiefly cotton, beetroot and potatoes. There were notable rises in the output of cotton (270,000 tons in 1963 compared with 253,000 tons in 1962) ,tobacco (125,000 tons declared quantity, compared with 93,100 in 1962) and especially of olive oil, which

TABLE 1. SUPPLY AND RESOURCES IN 1963

Millions of drachmae.

	CURRENT PRICES			CONSTANT PRICES		
	1962[1]	1963[2]	INDEX 1962 = 100	1962[1]	1963[2]	INDEX 1962 = 100
1. Gross National Product at market prices	117,643	130,945	111.3	96,518	104,016	107.8
2. Capital transfers and current transfers with foreign countries (net balance)[2]	6,547	6,416	97.9	6,740	7,141	105.9
Goods and services available	124,190	137,361	110.6	103,258	111,157	107.6
3. Consumption	100,384	110,711	110.3	83,288	89,062	106.9
a) Private	85,541	94,442	110.4	73,903	79,219	107.2
b) Public	14,843	16,269	109.6	9,385	9,843	104.9
4. Gross fixed asset investment	23,806	26,650	111.9	19,970	22,095	110.6
a) Private[3]	14,145	16,450	116.3	12,269	13,845	112.8
b) Public	8,977	8,600	95.8	7,204	6,850	95.1
c) Change in stocks	684	1,600	23.9	497	1,400	281.6
Gross expenditure	124,190	137,361	110.6	103,258	111,157	107.6

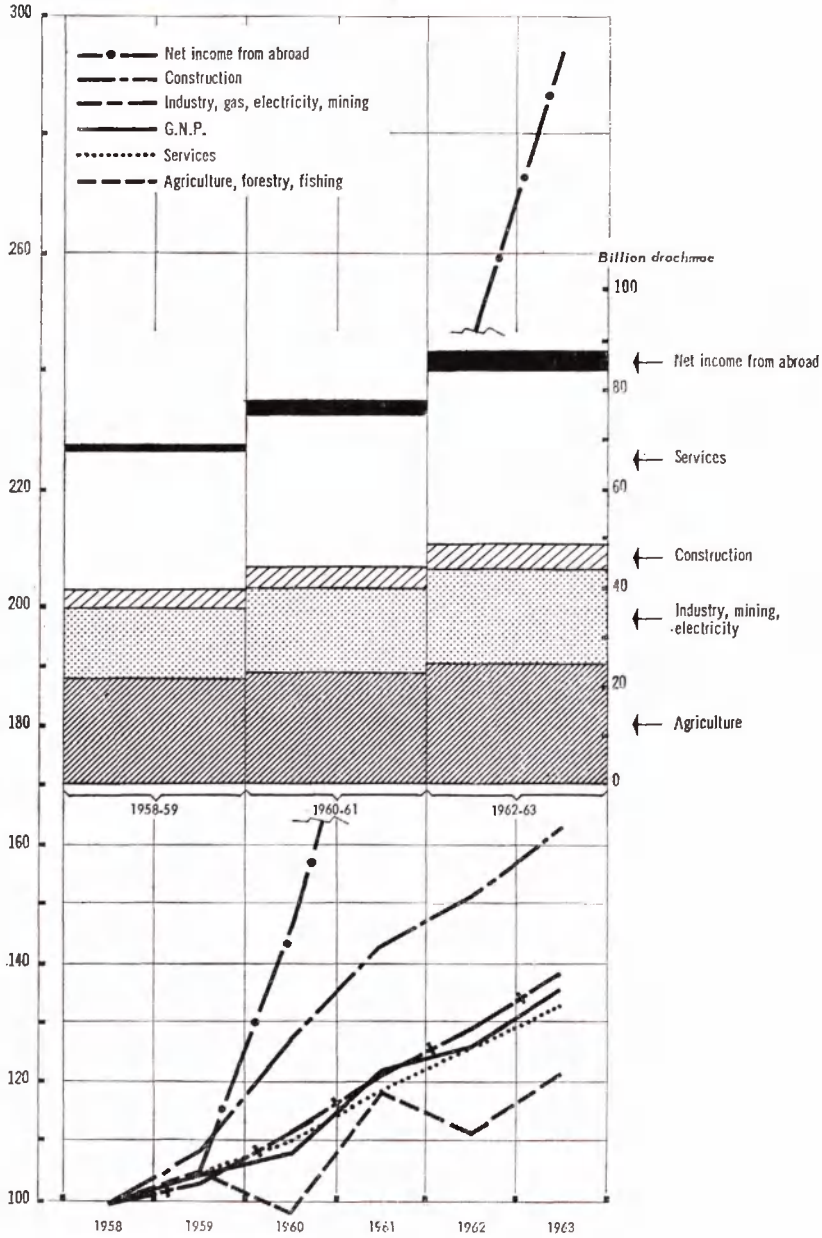
1. Provisional estimates.
2. Provisional estimates which may be revised.
3. Excluding ships.

Source: Memorandum.

amounted to 209,000 tons compared with 55,800 in 1962. Leaving aside the increase in olive products (subject to a two-year cycle of large and small crops), agricultural output would have grown in volume by only 1 per cent and the G.N.P. by 5.4 per cent. If tobacco were excluded as well, the agricultural product would have dipped by 3 per cent while the rise in G.N.P. would have been only 4.7 per cent. This shows how much the Greek economy depends on a very small number of products subject to chance fluctuations.

7. According to the industrial index of the National Statistical Service, industrial output grew faster than in 1962 (7.4 per cent in volume compared with 4.7 per cent) despite some slackening earlier in the year. Here again, progress was chiefly due to three industries, which account for 47 per cent of the index food, textiles, and tobacco. The tobacco industry, which prepares the raw material is directly affected by the size of the crops. Among other industries, the advance made by metalworking (13.5 per cent) should be noted, chiefly as the result of a new plant being brought into production. There was fairly intense activity in the construction industry and in its

Diagram 1. GROSS NATIONAL PRODUCT STRUCTURE AND TRENDS OF COMPONENTS
1958 = 100
Billion 1954 drachmae



Source: National Statistics.

TABLE 2. PRODUCTION BY SECTORS IN 1963

Millions of drachmae.

	1961	1962	1963	INDEX FOR 1963 (1962 = 100)	SHARE IN GROSS DOMESTIC PRODUCTION PER CENT
		a) CURRENT PRICES			
1. Agriculture	28,975	28,504	33,450	117.4	45.4
2. Industry	25,442	27,475	29,800	108.5	21.4
of which: manufacturing	17,174	18,473	20,050	108.5	14.5
3. Services	40,379	43,787	47,400	108.2	33.2
4. Gross domestic product	94,796	99,766	110,650	110.9	100.0
5. Income from abroad	2,739	3,370	4,000	118.7	
6. Gross National Income	97,535	103,136	114,650	111.2	
		b) CONSTANT PRICES			
1. Agriculture	24,572	23,065	25,100	108.8	35.9
2. Industry	21,974	23,350	25,050	107.3	30.0
of which: manufacturing	14,952	15,863	17,000	107.2	20.1
3. Services	32,358	34,318	36,250	105.6	34.1
4. Gross domestic product	78,904	80,733	86,400	107.0	100.0
5. Income from abroad	2,962	3,681	4,400	119.5	
6. Gross National Income	81,866	84,414	90,800	107.6	

Source: Memorandum.

related sectors. Production of electricity, which reached 3.1 billion kwh., went up by 14.3 per cent in 1963 compared with 10.6 per cent in 1962.

8. For services there was a growth (in volume) of production of some 7 per cent (including services rendered to foreign countries). Income earned abroad from services went up most (20 per cent) as a result in particular of a recovery of the international shipping market and the growth of total earnings of Greek workers abroad.

EMPLOYMENT AND WAGES

9. The dearth of employment statistics makes it difficult to get a clear picture of the situation. According to estimates by the Planning Service it seems that from November 1961 and up

to November 1963 employment in enterprises employing more than ten persons increased by some 2 per cent. Emigration has to some extent relieved the economy of the pressure of unemployment, but in some areas it has also led to a seasonal shortage of labour for a number of crops. The fact that a number of skilled workers have emigrated has also handicapped the firms in which they formerly worked. The total number of workers who left Greece in 1963 amounted to 100,000—of whom 65,000 went to Federal Germany—compared with 84,100 and 59,000 in 1962 and 1961 respectively. 339,000 people have emigrated since 1958, which is practically equal to the whole of the natural growth of population. In 1963, departures exceeded this growth by some 18 per cent. But despite the scale of emigration there is still heavy unemployment and under-employment—according to the census returns of 1961, unemployment in the towns amounted to 230,000 and under-employment in the countryside to 600,000. Recent estimates show that the latter figure has fallen to 473,000, with a total of 192,500 men and 280,000 women, out of a total active population of 3,600,000.

TABLE 3. POPULATION GROWTH AND EMIGRATION

Thousands.

	1961	1962	1963
1. Excess of births	86,087	85,827	80,913
2. Total emigration	58,837	84,054	100,072
3. Difference between 1 and 2	27,250	1,773	-19,159
4. Overseas	17,543	22,159	24,723
5. Europe	41,294	61,895	75,349
of which: Federal Republic of Germany	31,107	49,532	64,662

Source: Monthly bulletin of the National Statistics Service of Greece.

10. Information on wages is as fragmentary as that on employment. Using the same sample surveys and social security statistics it seems that gross industrial wages rose by some 5 per cent between August 1962 and August 1963. Towards the end of 1963, on the other hand, the Government decided to make a general increase of 12 per cent in the minimum wage[1].

TREND OF PRICES

11. Throughout the year there were marked variations in the trend of prices. In the first quarter the upward trend which

1. See the section below on economic policy measures. There are several kinds of minimum wage, depending on age and sex. These minimum wages apply to only a part (30 to 40 per cent) of the industrial labour force, so that an increase of 12 per cent leads to an effective rise of 3 to 3 1/2 per cent in total wages.

started at the end of 1962 continued, particularly because of poor harvests of certain staple agricultural products. In the middle of the year the measures taken by the authorities (action on the olive oil market, raising of the embargo in imports of potatoes, etc.) led to a fall in the index of retail prices. After September, however, the upward trend was resumed, though at a more moderate rate. In the event, the yearly average of consumer prices was 3 per cent higher than in 1962, when it was 0.3 per cent below the average of 1961. The rise in the index of wholesale prices in 1963 was even greater, 5.1 per cent, after a modest fall in 1962. The rise of world prices for several imported foodstuffs (coffee, salted fish, meat) was responsible for 33 per cent of the rise in the retail price index and for 17 per cent of that in the wholesale price index. The latter was also affected by the increase in the price of tobacco and of raisins.

Factors of demand

12. Private consumption rose considerably compared with 1962. The mediocre harvests of 1962, which depressed the earnings of a large section of the farming community, probably made themselves felt in 1963, but the growth in non-agricultural incomes and the better export prices for certain products, especially tobacco, prevented any weakening of internal demand. There was also a large increase in public consumption in 1963. The budget of the central Government provided for an increase of 14 per cent in current expenditure. The actual increase was some 10 per cent in value and 5 per cent in volume.

13. The fall in public investment had an adverse effect on the total volume of investment in 1963. According to provisional

Table 4. PUBLIC INVESTMENT

Millions of drachmae.

	1962	1963[1]
Agriculture	1,316	1,375
Communications	1,531	1,450
Industry	1,323	683
Tourism-Museums	596	207
Education	173	243
Housing	41	33
Public Health-Social Security	53	43
Administration	68	57
Local authorities	560	400
Others	189	543
Total	5,850	5,034

1. Provisional figures.

Source: Ministry of Co-ordination.

estimates the total increase in volume was about 6.3 per cent. This resulted from a rise of 12.8 per cent in private investment (excluding transfers of ships) and to a fall of 4.9 per cent in public investment. Investment in industry and mining went up by 11.3 per cent compared with 32.5 per cent in 1962. The bad weather early in the year was only partly responsible for the delay in carrying out the public investment programme. Technical and administrative difficulties certainly played an important part in this with regard both to the drawing up and carrying out of projects.

Money and credit

14. The money supply grew by 15 per cent in 1963, or at the same rate as in 1962. During the period 1956-62 the average rate of increase had been 16.2 per cent. Short-term financing by the central Government of public investment programmes and advances to public enterprises accounted mainly for the growth of the money supply in 1963, as in 1962. The private sector and foreign capital played only a limited part.

Table 5. MONEY SUPPLY AND ORIGIN OF CHANGES
End-period situation

Millions of drachmae.

	1961	1962	1963
Money supply	+ 2,302	+ 2,672	+ 3,133
Notes and coins	+ 1,671	+ 2,184	+ 2,440
Sight deposits	+ 631	+ 487	+ 673
Origin of changes:			
I. *Public sector*	+ 2,357	+ 1,433	+ 3,117
a) Central administration	+ 2,855	+ 1,909	+ 2,324
b) Public bodies	— 867	— 825	— 449
c) Public enterprises	+ 369	+ 215	+ 1,156
II. *Private sector*	+ 428	+ 659	+ 626
III. Operations with foreign countries	— 1,060	+ 530	+ 355
IV. Others	+ 577	+ 50	— 985

Source: Monthly Bulletin of Statistics of the Bank of Greece.

15. There was a rapid increase in the growth of private bank deposits during the first three-quarters of 1963, though it slowed down in the last two months of the year. The increase during 1963 was 24 per cent compared with an increase of 25 per cent in 1962. Nearly all (93 per cent) of this increase consisted of savings deposits and time deposits. This growth in bank deposits was now, however, matched by a similar rise in other forms of saving. Thus private investment on the capital market

amounted to only Dr. 700 million compared with 1,300 million in 1962. Throughout the year the improvement in the pattern of saving with banks and other credit institutions continued. For example, sight deposits accounted for 14.5 per cent of the total of private bank deposits at the end of December 1963 compared with 16.6 per cent at the end of 1962 and 19.5 per cent at the end of 1961. At the same time there was a very large increase in the number of bank and postal cheque accounts. On the whole, therefore, it seems that savers are moving away from extremely liquid forms of assets.

16. Credit to the private economy rose by 19.6 per cent compared with 16.8 per cent in 1962 and 12.9 per cent in 1961. The bulk of this increase was made up of short-term advances, the average level of short-term credit to the economy in 1963 being up by 20.1 per cent on the previous year, while medium and long-term credit rose by 14.0 per cent compared with 12.8 per cent in 1962. In view of the upward trend of the gross national product at current prices (11.2 per cent) it seems that the financial structure of firms changed to some extent and that they borrowed more; it is also possible that some bank credit was used for financing purchases of consumer goods.

TABLE 6. TREND OF CREDIT TO THE ECONOMY
ANNUAL INCREASE

Millions of drachmae.

	1960	1961	1962	1963
Credit to agriculture	557	1,078	669	821
Credit to industry	1,703	1,235	2,005	2,614
Credit of commerce	436	199	1,654	1,553
Other credit to the private sector	703	564	561	1,034
Credit to public enterprises	486	280	214	1,105
Credit to public bodies other than the State	340	336	345	282
Total credit	4,225	3,692	5,448	7,409
of which:				
Long-term to the private sector (over 5 years)	1,328	1,282	1,172	1,374
To agriculture	578	547	106	252
To industry and mining	283	368	633	673

Source: Monthly Bulletin of the Bank of Greece.

17. The capital market was less active in 1963 than in 1962. New issues amounted to Dr. 1,560 million compared with Dr. 2,192 in 1962 and Dr. 879 in 1961. The Government and public enterprises continued to be the main seekers of funds; some 1,500 million went to the Government and only 60 million to the private sector. In the period from 1959-1963, the Government

and the National Electricity Company absorbed Dr. 5,060 million compared with 952 million for private industry.

Public finance

18. Public revenue was 8.7 per cent greater in 1963 than in the previous year, whereas total expenditure was 5.2 per cent greater. The deficit amounted to Dr. 2,703 million compared with 3,670 in 1962, an improvement wholly due to smaller outgoings on the investment budget. The total deficit was met to the extent of 2,100 million by borrowing on the internal market and to the extent of 98 million from foreign loans, the remainder being financed by advances from the Bank of Greece.

Table 7. PUBLIC FINANCE

Millions of drachmae.

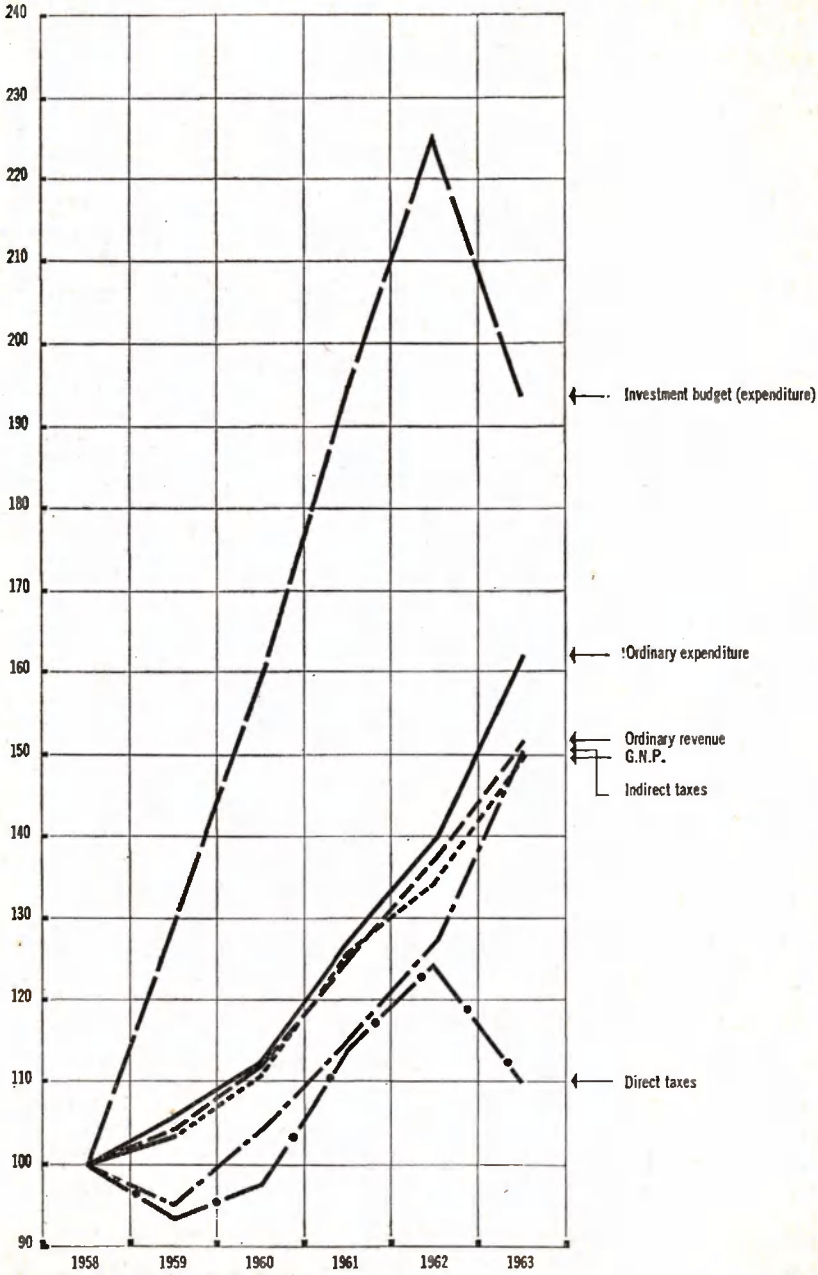
	1962[1]	1963[1]	1964[2]
I. Ordinary Budget:			
Revenue:			
Direct taxes	3,590	3,607	4,175
Indirect taxes	13,233	15,004	16,663
Other revenue	2,355	2,628	2,723
Total	19,512	21,371	23,887
N.A.T.O. Defence Aid	—	450	705
Total ordinary budget	19,512	21,821	24,592
Expenditure	17,968	20,032	23,534
Balance	+ 1,544	+ 1,789	+ 1,058
II. Investment Budget:			
Revenue	637	543	900
Expenditure	5,850	5,035	6,000
Balance	— 5,213	— 4,492	— 5,100
General deficit	— 3,669	— 2,703	— 4,042
Financing of the deficit:			
Internal borrowing	2,074	2,100	2,276
American aid	677	57	—
Other resources from abroad	775	41	1,724
Advance by the Bank of Greece	144	505	42

1. Results.
2. Estimates.

Source: *a)* General Directorate of National Accounts.
b) Statement by the Minister for Finance to the Greek Parliament.

19. Nearly all of the increases in ordinary revenue resulted from the growth of indirect taxes, whose yield went up by 13.4 per cent. On the other hand, despite the rise in wage incomes, the yield of direct taxes did not increase, and their

Diagram 2. TREND OF GROSS NATIONAL PRODUCT AND PUBLIC FINANCE
BASE 100 = 1958



Source: National Statistics.

share in the total of ordinary revenue dropped from 18.4 per cent in 1962 to 16.9 per cent in 1963. This can partly be explained by the reduction in the rates of tax decided in 1962; the Government intends moreover to improve the present machinery for assessing and collecting taxes in order to prevent the considerable amount of tax evasion which still goes on.

20. Ordinary budget expenditure rose by 17,968 million in 1962 to 20,032 million in 1963. This increase was mainly due to the cost of subsidies and price support of agricultural products, wage increases, and servicing of the public debt. There was a surplus of Dr. 1,789 million (compared with 1,544 million in 1962) on the ordinary budget, and this was transferred to the investment budget.

21. The budget for 1964 is larger than for 1963 both on the expenditure and on the revenue side. Ordinary budget expenditure will amont to Dr. 23,534 million, or 17.4 per cent more than in 1963. This trend is chiefly due to larger appropriations for education, wages and pensions paid by the State, and support of agricultural prices (wheat, tobacco). Ordinary revenue will amount to Dr. 23,887 million, or an increase of 11.8 per cent compared with 1963. The ordinary budget should show a surplus of 1,100 million. The investment budget provides for revenue of around 900 million, and expenditure of the order of 6,000 million, an increase of 20 per cent compared with the previous year made necessary by the very strong growth of public investment expenditure. The deficit is to be met as follows: internal borrowing should provide 2,276 million, borrowing from abroad a further 1,724 million, the surplus on the ordinary budget (Dr. 1,058 million) will account for the remaining revenue.

External relations

22. While remaining generally favourable, the balance of payments experienced two opposing tendencies—a continued worsening of the trade account, and a marked improvement in other items of the balance.

23. The rate of increase in the value of exports (22.3 per cent) was far higher than in that of imports (16.4 per cent). In volume the trend was appreciably different, the progress of exports being mainly due to the higher price of tobacco; there has in fact been a marked worsening of the situation, since imports have risen by 17.8 per cent while exports have risen by only 1.4 per cent. According to customs returns imports reached a total of $ 744 million and exports one of $ 290 million.

The deficit on the merchandise balance was even bigger than in 1962 ($ 454 million compared with $ 365 million).

24. Imports of foodstuffs increased most of all (+ 55 per cent while in 1962 this item was 15 per cent down on 1961. The upturn was due to large imports of vegetable oils after the low domestic production of 1962. Imports of coffee, potatoes, special flours, meat and sugar were also high. Already running at a high level, imports of durable consumer goods, especially of electrical household appliances, went up markedly (19 per cent) in 1963. With regard to raw materials, the items which increased most were metal, paper pulp, wool and chemicals. Imports of capital goods seemed to decline somewhat compared with 1962, but the trend was only apparent since the 1962 figures included $ 11.1 million for three ships whose purchase was financed from Italian was reparations. Within this item there was a fall in imports of buses and lorries and a rise in imports of machinery (+ 9 per cent).

25. Exports were up $ 53 million compared with 1962. The increase in earnings from tobacco exports amounted to $ 60 million but most other items fell back, mainly citrus fruit, cotton, industrial and handicraft goods (especially textile products). The fact that export earnings from tobacco doubled ($ 127.8 million compared with $ 68.0 million in 1962) was partly due to late consignments which normally would have taken place in 1962 but more especially, to the fetching of high unit prices (as the result of mildew which damaged crops in other countries. There was a slight improvement for raisins, olives and oranges.

26. The trend of the invisibles balance in 1963 was even more favourable than in 1962. Receipts amounted to $ 454.3 million, a 20 per cent increase over the previous year. The items which rose most were remittances from Greek workers in Federal Germany, mainly reflecting their growing numbers, receipts from tourism, receipts from merchant shipping, and other emigrants' remitances. Only the item "Government Services" dipped slightly. Invisible payments continued to increase, though much more slowly than in 1962. The invisibles balance finally showed a net surplus of $ 356.4 million, thus covering 86 per cent of the trade deficit.

27. Imports of capital went up by 15 per cent compared with 1962 while capital outflows increased by 30 per cent. However the balance of capital movements showed surplus of $ 76 million. This made it possible to meet the whole of the deficit on the balance of current payments, and even left an overall surplus, without taking into account American aid and war reparations.

Trends in the early months of 1964

28. In the early months of 1964 the level of economic activity was higher than in the same months of 1963. Agricultural production was not hit by bad weather as it was in the previous year, though frost did damage the citrus crop and particularly oranges. The average of the index of industrial production (excluding building) during the first quarter exceeded by 11.8 per cent that of the first quarter of 1963 which was 2.8 per cent higher than that of the same quarter of 1962.

29. During the first three months of the year the revenue of the ordinary budget showed an increase of 13.3 per cent compared with the same quarter of 1963. All kinds of revenue shared in this increase and the final result of the financial year will certainly be far superior to that of 1963. The deficit of the public finances is, however, likely to grow because of the steep rise in the current expenditure (due in particular to higher civil service salaries) and above all in investment (a 20 per cent increase is expected in comparison with the, admittedly very low, level of 1963).

30. Exports in the first two months of the year were down 13.9 per cent compared with the same two months of 1963. There was a drop in tobacco sales, which last year showed a big increase because of late consignments, and in exports of wine, but a rise in those of cotton and minerals. For the same period, imports (c.i.f. customs returns) showed an increase of 17 per cent compared with the same months of 1963. The biggest advances were for imports of raw materials (27.5 per cent), capital goods (22 per cent), transport equipment (39 per cent) and durable consumer goods (19 per cent) while for the first time for a year there was a notable drop (14 per cent) in imports of foodstuffs, which at the same time last year were swollen by chance factors. But for the year as a whole a further worsening is expected in the trade balance, since imports should rise by 13 to 14 per cent compared with the last year, while exports will probably contract somewhat, due both to the fall in tobacco exports prices (10 to 15 per cent) and to an expected decline in cotton crops and the production of olive oil in particular.

II. PROBLEMS OF ECONOMIC POLICY

32. The decisions taken by the Greek authorities since the beginning of 1963 have led to a number of important changes in economic policy. The principal ones concern credit, social policy, and structural reforms.

Credit policy

33. The abundant liquidity and the stronger situation of the commercial banks led to easier credit conditions and to a further reduction of the cost of money. The authorities have taken a number of decisions to improve the situation of the banks, and to induce domestic saving to play a bigger part in Greece's economic development. In April 1963, the discount rate was cut from 6 per cent to 5.5 per cent and the various rates practised by credit institutions were revised accordingly. Additional re-discounting facilities were also granted to the banks. In September the Greek authorities made public a series of decisions regulating credit policy arrangements while changing them in several respects. Under the new arrangements the discounting period for commercial paper can amount to six months and, under certain conditions, to even more. Limitations on the financing of industrial firms in the form of advances have been abolished. Commercial banks may grant loans for a period of up to ten years, while participating in the capital of newly established or modernised firms. In future, rules for the financing of businesses will be more flexible, and there are new facilities for financing operations directly concerned with the economic development of the country (imports of machinery, exports etc.). These measures represent a new departure in giving the banks greater freedom to weigh up the financial needs of the economy. The responsibility of the commercial banks has therefore been increased, while reducing the role of the Central Bank and the Monetary Committee, whose chief function since the end of the War has been to guarantee monetary stability and to channel savings so that economic development could be promoted to the maximum.

34. Along the same lines, mention should be made of the founding of two investment banks, set up by the two biggest commercial banks of Greece with the help of important banking institutions in Western Europe and the United States. It might, moreover, have been better to set up a single bank of this kind and to provide it with bigger resources and possibilities of action. All in all, the various measures taken set a new pattern for the financing of investment. The present state of affairs is typified, as in many developing economies, by a relatively low level of saving but above all by the strong tendency for such saving to move into very liquid investments (savings' bank deposits or sight deposits with the banks) or investment in real estate. The Government hopes that by the various measures mentioned above, (and by making it easier, in various ways, for fims to borrow from the capital market) it will be able to guide such saving into productive investment. Moreover, it is likely that

the tendency towards concentration of industrial firms will make it both more necessary and less difficult for them to borrow.

Social policy

35. Social action has chiefly been concerned with reducing the financial burden on the agricultural community, various measures to lighten taxation, a large increase in civil service salaries, and the extension of free education. Various administrative reforms have also been made.

36. The Government has decided to consolidate loans or the balance of loans granted by the Agricultural Bank up to 31st December, 1962. These have been converted into medium-term loans, repayable in eight yearly instalments starting in 1964, and carrying medium-term rates of interest calculated on the initial capital. It is hoped in this way to put the finances of many farms on a sound basis and to regularise the terms of finance. At the same time, it was decided to make a cut of one to three points in the rate of interest on Agricultural Bank loans. This will place a heavier burden on the public finances, since the Government will have to subsidise the Agricultural Bank to the extent of Dr. 170 million in order to make up for the delay in repayments to the Bank. The total agricultural debt amounts at present to Dr. 10 billion 700 million, or about 10 per cent of the gross national product; however, it should be noted that only a part (about 20 per cent) of this debt has been consolidated.

37. The Greek authorities have also decided to make a general reduction of 10 to 15 per cent in rates of income tax with effect from 1st January, 1965. The salaries of civil servants, together with their pensions, have been increased by 5 per cent since 1st January, 1964; those of teachers and the judiciary were increased much more substantially (the basic salaries of the judiciary were doubled). The Government decided to abolish enrolment, tuition, and examination fees, and thus made education from the primary to the higher level completely free. All these measures represent an extra burden on the Treasury of some Dr. 1,600 million, or nearly 7 per cent of the total expenditure planned by the central Government for 1964.

38. The Government is also planning to carry out large-scale administrative changes. An Advisory Body for Economic Development, consisting of the main ministers concerned, senior civil servants, representatives of the universities and of the private sector (management and labour) has already been set up, and will be responsible to the Prime Minister. It is expected to advise on development problems and the aims of economic programming, while at the same time it should ensure better

liaison between government departments and representatives of the major industries. Plans are also afoot to strengthen the planning services, to merge the Economic Development Finance Organisation and the Industrial Development Organisation (both public bodies) in order to create a more powerful Government agency with the task of promoting industrial development. Consideration is also being given to the re-organisation of government machinery, some ministries being split up or some of their services transferred.

Structural problems

39. The policy of the Greek authorities remains rooted in the achievement of a high growth rate which will ensure a rapid rise in incomes and employment. This has become a particularly urgent objective, since the recent association of Greece with the E.E.C. presupposes a substantial effort to raise the productivity of the Greek economy.

40. The fundamental problem remains that of employment. The 1960-1964 Plan provided for the creation of 330,000 new jobs, the figure of one million being regarded as the objective to be reached by 1970 in order to solve the problem once and for all. By the end of the fourth year of the plan, it was estimated that this objective had not been achieved and the number of unemployed[1] still represents a large part of the population of working age. The initial estimates of the plan were no doubt too optimistic, but in view of the direction given to public investment, which was based mainly on agricultural infrastructure, roads and tourism, it may be thought that the employment objectives were somewhat over-estimated. The private investments of recent years have certainly improved the competitiveness of Greek firms, and judging from the index of industrial production, productivity has progressed considerably in view of the apparent stability of employment. The possibilities in this respect are far from being exhausted and unless, therefore, there is an important increase in the growth of industrial production, the employment problem is likely to grow worse in the years ahead. With regard to agriculture, while the volume of its output can still be enlarged, not only can its labour force not be increased, but it is weighed down by a considerable unemployed or underemployed human potential. There remains the tertiary sector, which in recent years, has accounted for more than 40 per cent of the gross domestic product. In a country in process of development this percentage is excessive, and it is to be hoped, therefore, that the labour

1. Registered, or estimated (in the countryside).

force of this sector, which already represents a very large part of the active population, will not increase appreciably in future.

41. Emigration over the past few years has played a key role in easing demographic pressure. In the last two years, however, its scale has become disquieting and has given rise to new problems, since the number of emigrants has exceeded the net natural growth of the population. If this were to continue it might sooner or later upset the demographic balance of the country, since the great majority of emigrants are drawn from the ranks of the youngest and most dynamic members of the population. Such an imbalance already exists, moreover, in some areas where there is often an acute shortage of agricultural labour at peak periods, in contrast to the disguised under-employment in the rest of the country. Though it is true that Greek agriculture is largely unmechanised and the introduction of modern techniques would greatly increase productivity, this would raise a difficult employment problem which in the short run would be virtually insoluble. What is more, Greek industry is complaining about the growing difficulty of recruiting skilled labour, which is much sought after by foreign firms offering considerably higher wages than those in Greece itself. By and large it seems that the short-term advantages (solving the employment problem, inflow of earnings) of emigration may be cancelled out by very dangerous drawbacks in the longer run.

42. The prospects for medium-term development are closely bound up with the role the Government may play in economic activity. It has been said in this connection that the 1964 budget provided for a large increase in public investment. But to continue such a policy—which seems to be desired by the Government—would raise difficult financial problems; the solution may lie partly in managing the ordinary budget in such a way that larger public saving results (in 1964 the surplus on the ordinary budget should be Dr. 1.1 billion compared with 1.8 in 1963).

43. In view of the foreseeable trend of expenditure, linked with the various social measures taken by the Government, this additional saving could only be obtained by a substantial increase in revenue. Since 1958, however, ordinary revenue (of which taxes represent 90 per cent of the total) has been growing at the same rate as G.N.P., which tends to prove that tax rates are not sufficiently progressive. The share of direct taxes is, moreover, tending to fall (cf. Table 8: tax structure), mainly because of tax evasion, income tax being charged on only a small part of the taxable substance. It is symptomatic in this respect that revenue from the earnings of industrial and commercial firms fell from 55.9 per cent of the total in 1958 to 48.9 per cent

TABLE 8. TAX STRUCTURE

Millions of drachmae.

	1961		1962		1963	
	DRACHMAE	PER CENT	DRACHMAE	PER CENT	DRACHMAE	PER CENT
Total tax revenue	15,109	100	16,768	100	18,549	100
a) Direct taxes	3,221	21	3,591	12	3,606	19
—Taxes on income	2,415	16	2,634	16	2,532	14
—Taxes on capital	243	2	273	2	312	2
—Other direct taxes	563	3	684	3	763	3
b) Indirect taxes	11,884	79	13,177	79	14,943	81
—Customs duties	5,278	35	5,906	35	6,482	35
—Taxes on consumption	3,765	25	4,065	24	4,683	25
—Taxes on transactions	2,054	14	2,290	14	2,650	14
—Other indirect taxes	787	5	916	6	1,128	17

Source: Monthly Bulletin of Statistics (S.N.S.).

in 1961, while revenue from wages and salaries rose from 19 per cent to 24.9 per cent. Though it is no doubt desirable to guarantee businesses high profits so that they will have funds to invest, this is not enough, as recent developments have fully shown, to ensure that they will in fact invest them. A thorough reform of the tax system is being planned by the Government both in the interests of social equity and to secure a sufficient rise in revenue. The main purpose of action taken recently has been to lighten the burden of taxation, the present rates being judged too high, and on 1st January, 1965, there will be an overall reduction of between 10 and 15 per cent, the authorities apparently hoping that this will lessen tax evasion. Various other steps which should be noted are aimed at simplifying the collection of taxes (for death and stamp duties etc.) or diminishing the possibility of evasion (publication of the list of declared incomes, review of tax privileges, etc.).

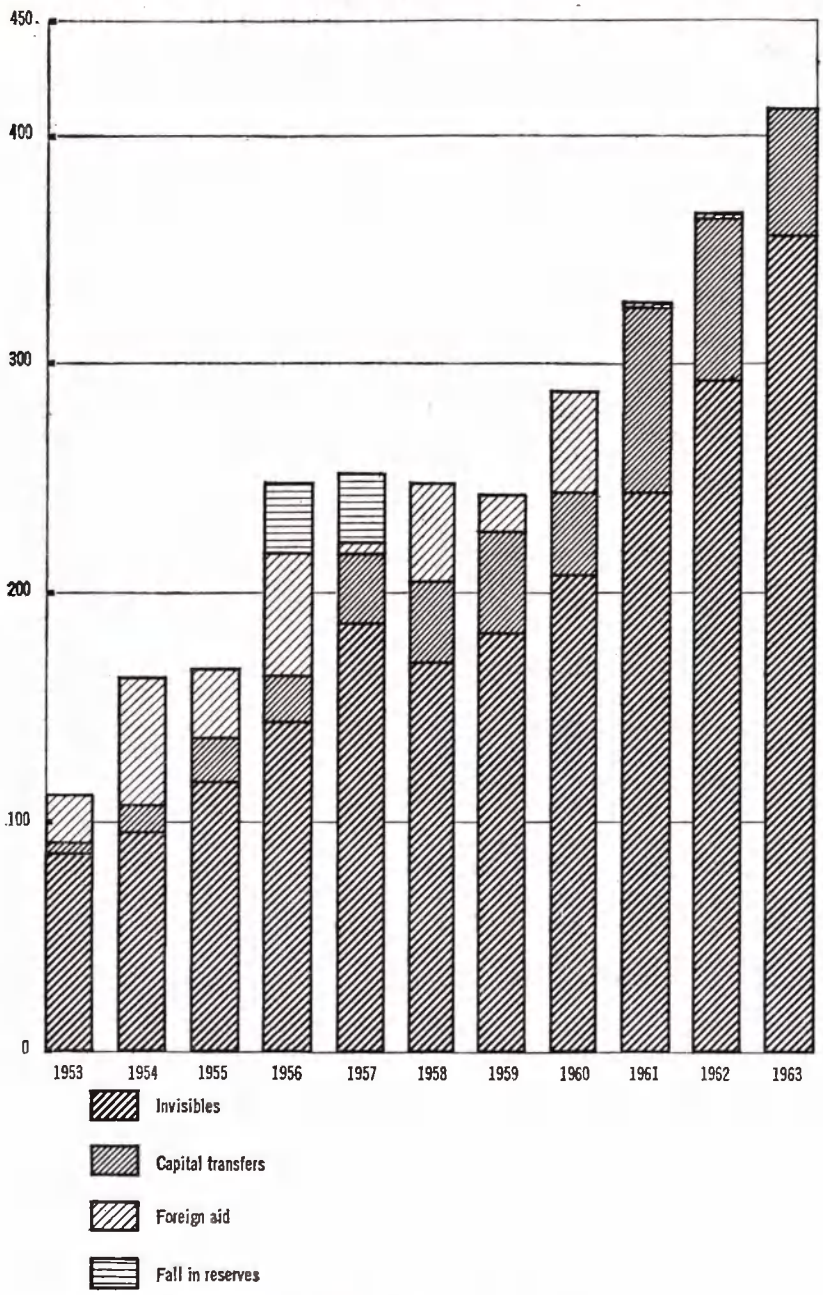
44. It is probable therefore that the Government will have, as in the past, to borrow heavily to finance its investment expenditure. In 1964 its needs should be met to the extent of 4.7 billion from loans of which 705 million being N.A.T.O. defence aid and 1.7 billion borrowed from abroad.

III. TRENDS IN THE BALANCE OF PAYMENTS

45. A rapid review of the trend of the balance of payments since 1963 reveals the following features; the trade imbalance remains structural, and is tending to grow worse, for after

Diagram 3. THE DEFICIT MARGIN OF THE TRADE BALANCE

MILLION DOLLARS



N.B. The increase in reserves is not indicated.
Source: Bank of Greece.

marking time between 1956 and 1959 the deficit has been on the increase since 1960. Exports have made little progress since 1955, a year in which the impact of the devaluation of April 1953 disappeared. In contrast, invisible transactions are playing a very big role in maintaining equilibrium and since 1960 have accounted for a larger share of total earnings than exports. Capital transfers have been increasing appreciably and here again it seems that 1960 saw the beginning of a rapid rise. Economic aid from the United States has played a fundamental part in maintaining equilibrium.

The trade balance

46. The marked disequilibrium of merchandise trade is a structural feature of the Greek economy. For some years however it has been growing steadily worse and will probably continue to do so in the years ahead. According to the forecasts of the plan imports were to increase by an average yearly rate of 9.2 per cent (in volume) over the period 1962-1966, with exports going up by 8 per cent a year. In the early years of the plan the average growth of imports in fact far exceeded the estimated level (+ 13 per cent in volume) while exports fell short of the forecasts (+ 5 per cent in volume).

47. With regard to imports, and in contrast to the forecasts of the plan, the rapid rate of growth is due not to imports of capital goods but to those of industrial consumer goods. This is chiefly because of the growth in the incomes of certain sections of the population. There is also reason to think that, for an economy which is mainly agricultural, the rapid rise in imports of foodstuffs may mean that production is not responding properly to shifts in the pattern of demand, and that there is a need for a more appropriate economic policy. With regard to the geographical pattern of Greece's imports, there is a steady shift away from the United States and the United Kingdom towards countries of the European Economic Community and, to a lesser extent, towards Eastern countries.

48. After some substantial progress had been made between 1953 and 1955, due in part to the devaluation of the drachma, there has been only a slight increase in the volume of exports compared with 1955. Agricultural products and raw materials account for more than 90 per cent of the total. Greece's exports are in fact built upon three agricultural products—tobacco, raisins, and cotton—which alone account for more than 50 per cent of total exports. And despite the fact that cotton, and to a lesser extent citrus fruit, have been added to Greek exports since the end of the war, the range of exports remains limited. European countries and especially those of the European Eco-

TABLE 9. BALANCE OF PAYMENTS FROM 1953 TO 1963

Million of U.S. dollars.

	1953	1954	1955	1956	1957	1958	1959	1960	1961	1962	1963	1964[1]
IMPORTS[2] C.I.F.	236.1	319.6	352.0	440.7	475.1	491.5	454.8	497.1	561.2	608.1	708.4	800
EXPORTS F.O.B.	134.1	161.0	206.5	209.6	222.8	242.8	212.5	208.6	234.6	242.6	295.9	290
Trade Balance	—102.0	—158.6	—145.5	—231.1	—252.3	—248.7	—242.3	—288.5	—326.6	—365.5	—412.5	— 510
Percentage Exports/Imports	57	50	58	47	47	49	47	42	42	40	42	36
Invisible:												
Receipts	107.8	124.2	153.9	102.6	235.7	217.6	237.2	273.2	319.6	379.6	454.3	500
Payments	23.4	30.1	36.0	39.3	49.7	47.7	54.9	65.5	76.2	87.6	97.9	115
Balance of Invisibles	84.4	94.1	117.9	143.3	186.0	169.9	182.3	207.7	234.4	292.0	356.4	385
Percentage net invisibles/imports	36	29	33	32	39	35	40	42	43	48	50	48
Capital Transfers (net)	4.9	18.5	24.1	20.0	29.7	36.8	58.0	48.5	84.6	71.2	75.3	78
Balance net of aid	— 12.7	— 46.7	— 3.5	— 67.8	— 36.6	— 42.0	— 2.0	— 32.3	— 1.4	— 2.3	+ 19.2	— 47
American aid[3]	58.6	51.0	59.8	69.6	22.7	22.9	40.2	41.8	36.7	17.8	36.9	32
War indemnities	7.6	7.2	0.9	0.9	0.4	0.2	0.9	0.8	0.9	37.8	6.1	—
Errors and ommissions	— 5.4	— 1.5	— 2.0	+ 2.0	— 1.5	— 1.8	— 2.2	+ 4.2	— 7.1	+ 2.3	— 27.0	—
Balance of Payments	+ 47.1	+ 10.7	+ 55.2	+ 4.7	— 15.0	— 20.7	+ 36.9	+ 14.5	+ 29.1	+ 55.6	+ 35.2	— 15
Purchases and sales of gold within Greece and transfers to the gold reserves	0.6	0.2	0.1	— 1.4	3.8	3.5	9.0	1.4	0.6	— 28.8	0.1	—
Changes in reserves: (increase — decrease +)	— 48.7	— 10.9	— 55.3	— 3.3	+ 11.2	+ 17.2	— 45.9	— 15.9	— 27.0	— 19.4	— 7.9	—
Changes in the liquid funds of commercial banks (increase —)	—	—	—	—	—	—	—	—	— 2.7	— 7.4	— 27.4	—
Official gold and exchange reserves	120.6	131.5	186.8	190.1	178.9	161.7	207.6	223.5	250.5	269.9	277.9	—
Suppliers' credits (end-period balance)	7.3	16.1	28.9	53.5	87.3	105.6	101.1	108.9	114.9	146.7	169.9	—

1. Forecasts.
2. Payments.
3. Excluding aid from philantropic organisations and common use items.

Source: Ministry of Co-ordination.

TABLE 10. IMPORTS BY GROUPS OF PRODUCTS AND BY GEOGRAPHICAL AREAS

As percentages.

	1953	1954	1955	1956	1957	1958	1959	1960	1961	1962	1963
I. BY GROUPS OF PRODUCTS:[1]											
Foodstuffs	25	18	24	29	20	16	16	19	18	14	19
Raw Materials	29	43	33	30	26	26	26	26	25	25	23
Petroleum Products	16	13	12	10	13	10	11	10	8	8	7
Capital goods	13	15	11	11	11	18	18	16	18	22	19
Including machinery	(10)	(15)	(11)	(11)	(9)	(14)	(15)	(13)	(14)	(16)	(15)
Transport equipment[2]	(3)	(2)	(2)	(2)	(2)	(4)	(3)	(3)	(4)	(6)	(4)
Durable consumer goods	17	21	20	20	30	30	29	29	31	31	32
Total	100	100	100	100	100	100	100	100	100	100	100
Value in millions of dollars	236.1	319.6	352.0	440.7	475.1	491.5	454.8	497.1	561.2	608.1	708.4
II. BY GEOGRAPHICAL AREAS:											
United States			25	26	19	14	15	17	16	13	17
Sterling Area			18	16	14	16	14	12	12	12	12
Other E.M.A. countries			45	44	51	53	52	49	51	56	51
including E.E.C.					(40)	(43)	(42)	(40)	(41)	(47)	(42)
Eastern Countries			4	4	6	7	10	12	11	10	9
Other countries			8	10	10	10	9	10	10	9	11
Total			100	100	100	100	100	100	100	100	100

1. After introduction of the S.I.T.C. nomenclature the headings are no longer quite so mutually consistent.
2. Excluding imports of ships.

Source: Monthly Bulletin of Statistics of the Bank of Greece (several issues).

nomic Community absorb the bulk of them, and by officially associating herself with the Community on 1st November, 1962, Greece hoped to increase her markets in the E.E.C. But the results of the first year, although they cannot prejudge the future, did not come up to the Greek Government's expectations.

The balance of invisibles

49. The very favourable trend of invisible transactions since 1957-1958 is the most reassuring feature of Greece's foreign trade. Because of steadily growing earnings from this item it has been possible to maintain equilibrium and to finance the growing deficit on the trade balance. Emigrants' remittances slackened somewhat up to 1960 but have recovered strongly since then as a result of fresh emigration to Western European countries and to the Federal Republic of Germany in particular. Earnings from merchant shipping are also rising constantly, because of the growth of Greek-owned tonnage and the considerable rise in the number of ships sailing under the Greek flag. Net earnings from tourism have gone up very fast, doubling between 1959 and 1963 despite higher expenditure by Greek tourists and the study expenses of the numerous Greek students abroad.

Movements of capital

50. With regard to capital movements a distinction should be made between several elements, and in the first instance between private capital and public capital. With regard to the former there has been a definite increase, most of this, up to 1963, being capital from Greek nationals living abroad who send back funds for the purpose of investment, particularly in housing. The law of 1953 to promote foreign investment in Greece did not, initially, give rise to important transfers, but developments since then have been more favourable. Lastly, for some years there has been a marked increase in transfers of short-term capital, with suppliers' credits playing an important role. In regard both to their forms and amounts, public capital and bank capital are much more important. As well as American aid, there are also institutions, and war reparations.

51. At the present stage in the development of the Greek economy a reversal in the trend of the major items of the balance of payments is not to be expected. It seems more likely, in fact, that the trade balance will deteriorate still further in the year ahead. The reasons for this are many; the rise in money incomes of various sections of the community will automatically send up demand for foreigh products, a number of which have an import elasticity much greater than unity, while the pro-

TABLE 11. EXPORTS BY GROUPS OF PRODUCTS AND BY GEOGRAPHICAL AREAS

As percentages.

	1953	1954	1955	1956	1957	1958	1959	1960	1961	1962	1963
I. BY GROUPS OF PRODUCTS:											
Food and beverages		29	23	22	28	32	30	27	26	29	24
Including raisins	(15)	(15)	(14)	(13)	(14)	(14)	(14)	(13)	(12)	(12)	(11)
Tobacco	40	38	38	31	39	38	33	35	35	28	43
Cotton	3	7	11	14	6	9	12	9	12	16	12
Raw materials	3	8	7	10	8	7	9	11	11	9	8
Minerals	8	5	6	8	7	6	7	9	6	6	5
Manufactures		2	2	3	3	2	4	4	3	5	3
Other products[1]	31	11	13	12	9	6	5	5	7	7	5
Total	100	100	100	100	100	100	100	100	100	100	100
Value in millions of dollars	134.1	161.0	206.5	209.6	222.9	242.8	212.5	208.6	234.3	242.6	295.9
II. BY GEOGRAPHICAL AREAS:											
United States			11	12	15	16	16	16	16	11	22
Sterling Area			12	12	10	10	11	12	9	11	8
Other E.M.A. countries			65	56	50	51	43	39	39	42	37
of which E.E.C.			—	—	(42)	(45)	(37)	(33)	(32)	(35)	(33)
Communist countries			4	9	12	17	15	22	22	22	21
Other countries			8	11	13	6	15	11	14	14	12
Total			100	100	100	100	100	100	100	100	100

1. Including orders by N.A.T.O.

Source: Monthly Bulletin of Statistics of the Bank of Greece (several issues).

TABLE 12. TREND OF INVISIBLE RECEIPTS AND EXPENDITURE

Million of U.S. dollars.

	1953	1954	1955	1956	1957	1958	1959	1960	1961	1962	1963
Total Receipts	107.8	124.2	153.9	182.6	235.7	217.6	237.2	273.2	319.6	379.6	454.3
Total expenditures	23.4	30.1	36.0	39.3	49.7	47.7	54.9	65.5	76.2	87.6	97.9
Balance	84.4	94.1	117.9	143.3	186.0	169.9	182.3	207.7	243.4	292.0	356.4
Tourism:											
Receipts	22.7	25.3	29.1	31.2	41.5	36.2	41.7	49.3	62.5	76.0	95.7
Expenditures[1]	6.6	8.3	9.9	12.7	15.2	15.3	15.4	18.8	19.4	21.8	27.5
Balance	16.1	17.0	19.2	18.5	26.3	20.9	26.3	30.5	43.1	54.2	67.9
Transport:											
Receipts	22.8	28.2	35.5	48.3	66.6	60.3	60.3	76.5	102.1	108.7	125.3
Expenditures	—	—	—	—	—	2.9	8.0	9.2	11.3	15.3	15.9
Balance	22.8	28.2	35.5	48.3	66.6	57.4	52.3	67.3	90.8	92.4	109.4
Emigrant's remittances	45.6	47.0	50.7	60.9	75.0	76.7	88.6	90.4	98.3	117.2	128.5
Miscellaneous:											
Receipts	16.7	23.7	38.6	42.2	52.6	44.4	46.6	57.0	56.7	78.3	105.1
Expenditures	15.7	19.8	25.8	26.6	34.5	29.5	31.5	37.5	45.5	50.5	54.5
Balance	1.0	3.9	12.8	15.6	18.1	14.9	15.1	19.5	11.2	27.8	50.6

1. Including expenditures by Greek students abroad.

Source: Monthly Bulletin of the Bank of Greece (several issues).

gressive removal of customs' duties on products from the European Economic Community, traditionally Greece's biggest supplier, will act as a further spur in this direction; faster industrialisation of the country implies, moreover, a substantial rise not only in imports of capital goods but also of raw materials with which Greece is scantily supplied; and the pattern of agricultural production is changing too slowly for imports of foodstuffs to be reduced in the next few years. Nor do prospects of a substantial growth of exports in the immediate future seem very encouraging. This is chiefly due to the commodity pattern of exports, for which demand is inelastic and often officially regulated.

52. At present there are no factors which seem likely to arrest the favourable trend of net invisible earnings. There will, probably, be a change in the years ahead in the composition of this item; emigrants' remittances may level off as the flow of emigrants diminishes and as family ties gradually loosen; there could also be a similar levelling off of earnings from merchant shipping once the possibilities of increasing tonnage and making use of it grow less (this is already noticeable); on the other hand, these developments should be offset for a long time to come by earnings from tourism.

53. During the phase of industrialisation which the Greek economy is going through, the contribution made by foreign capital will be decisive. A continuous and faster expansion of the economy, and the maintenance of financial equilibrium, seem closely bound up with future movements of foreign capital, both public and private. If the present trend of foreign trade continues (and there is no reason to think it will not) the pressure on the balance of payments will mount. Without foreign capital, the growth of imports would have to be curtailed in order to maintain the equilibrium of the balance of payments.

54. This does not mean that efforts to achieve a sounder trade balance should be abandoned. A lasting improvement can only be obtained by substantially increasing the growth rate of exports—which means changing their pattern so that traditional products give way increasingly to industrial products. However, there is no doubt that such a development will mean a thorough overhaul of the economic structure. Prospecting the world markets to obtain larger outlets for Greek products (whether traditional or new), also seem vital. As far as curbing the growth of imports is concerned, this would seem difficult to achieve. But some structural changes could be made, such as reducing the proportion of food products by swifter modernisation of agriculture, and if some Greek-made industrial products (e.g. textiles) were substituted for imports this would

TABLE 13. MOVEMENT OF CAPITAL

Million of U.S. dollars.

	1953	1954	1955	1956	1957	1958	1959	1960	1961	1962	1963
I. INFLOW.											
a) *Private sector:*											
Deposits under Law 2687/53	—	0.7	2.4	4.6	10.9	13.9	13.3	5.1	10.3	13.0	13.8
Investments under Law 2687/53	—	—	5.6	3.0	3.8	8.5	4.4	5.9	7.3	14.7	28.8
Capital of enterprises	—	—	2.1	4.8	6.3	5.0	17.7	10.1	11.3	13.0	20.4
Other private capital	—	—	16.0	18.0	20.0	24.1	30.4	34.8	39.3	43.3	44.3
TOTAL PRIVATE CAPITAL	11.3	—	26.1	30.4	41.0	51.5	65.8	55 9	68.2	84.0	107.3
LOANS TO BANKS AND OTHER CREDIT INSTITUTIONS										0.1	4.6
b) *Public sector:*											
Borrowing by Government		7.2						11.1	24.4		0.1
Borrowing by enterprises and public bodies								3.2	9.3	14.3	0.4
Other official capital								0.8	1.0	1.2	1.0
TOTAL OFFICIAL CAPITAL		7.2					15.4	15.2	34.7	15.6	1.5
TOTAL INFLOW	11.5	19.2	26.1	30.4	41.0	51.5	81.3	71.1	102.9	99.7	113.4
II. OUTFLOW.											
a) *Private sector:*											
Withdrawals under Law 2687/53			0.5	2.0	3.0	7.5	12.1	10.0	6.4	6.8	10.5
Amortization under Law 2687/53			0.9	2.4	0.9	1.0	0.2	0.3	0.3	0.4	0.3
Other outflows			2.5	4.1	4.0	—	0.3	20.0	3.5	3.1	7.7
TOTAL OUTFLOW OF PRIVATE CAPITAL	—	—	3.9	8.5	7.9	8.6	12.6	30.2	10.1	10.3	18.5
PAYMENTS OF DEBTS OF CREDIT INSTITUTIONS									4.7		0.2
b) *Public sector:*											
Amortization of Government borrowing				2.0	2.7	8.0	7.9	5.1	2.2	2.2	2.3
Amortization of official borrowing									2.8	5.2	6.7
Other outflows of official capital							16.5	—	0.1	0.1	—
TOTAL OUTFLOW OF OFFICIAL CAPITAL				2.0	2.7	8.0	24.4	5.1	5.1	7.5	9.0
TOTAL OUTFLOW	6.5	7.2	7.3	10.5	10.6	16.6	37.0	35.4	19.9	17.8	27.7
III. NET INFLOW OF CAPITAL	5.0	12.0	18.8	19.9	30.4	34.9	44.3	35.7	83.0	81.9	85.9
IV. VARIATION IN SUPPLIERS' CREDITS	1.2	8.9	12.8	24.6	33.8	18.3	—4.5	7.8	6.0	31.8	23.2

Source: Ministry of Co-operation.

leave a much bigger margin for imports of capital goods. The future expansion of the Greek economy will depend on sucess in these fields.

CONCLUSIONS

55. The general economic trend was favourable in 1963, chiefly as a result of agricultural production, and a rapid growth in demand took place without imperilling price stability of the balance of payments—despite the increase in the trade deficit. In 1964 the trough in the two-yearly cycle of the olive crop will not prevent a further increase in agricultural production and industrial production will expand faster than in 1963. In general, the rate of increase in the gross national product will be slightly less than that of 1963.

56. In an endeavour to solve the structural problems that remain—considerable underemployment, the low incomes of a large section of the population, the worsening of the trade balance and the slowness of industrialisation—the Greek Government has already taken a number of steps and is currently considering further measures in the economic and social fields. The main objects of its action are to speed up economic development and to distribute the national income more equitably—and the official policy in this respect has already taken concrete form in an increase of public investment in 1964 and in action to lighten the financial burden on farmers. The Government also intends to make a shift of emphasis in its planning of economic development, and to attach priority to infrastructure, education and research.

57. These measures can only be welcomed. Great vigilance will be needed, however, to ensure that the problems—which are always difficult—of balancing objectives and reconciling means are satisfactorily solved. To redistribute, for example, national income more equitably, to the benefit of less favoured sections of the community, is socially and even economically desirable since it enlarges the domestic market for Greek industry. But, in the last analysis, only the growth of investment and production can bring about a substantial and steady improvement in the standard of living. Similarly, the way in which this re-distribution is effected is by no means indifferent and raises delicate problems. To cite a particular example, it seems that the Government's action to help the farmers should mainly take the form of stepping up efforts to increase yields and productivity.

58. Fundamentally, however, the problems of the Greek economy can clearly only be solved by faster industrialisation, which would make it possible to absorb the surplus of un-

employed or underemployed labour, raise average productivity and average incomes, and reduce the size of the trade deficit through the creation of new industries. There are already signs that this is happening, but the process is a slow one. The reasons are many and well-known; the insufficiency of national saving, the movement of some of this saving into non-productive investment, a shortage of industrial entrepreneurs, and so on. Faced with these facts, the Government is by no means powerless. and the last O.E.C.D. survey of Greece[1] described and analysed the steps which have been taken in recent years to encourage and speed up industrialisation. So far the effects of these measures, without being negligible, seem insufficient. In addition, the economic programming undertaken in recent years does not, so far, seem to have had a decisive influence on the course of the economy. It may be hoped that the current reorganisation of the planning services will be such as to make Government action—especially with regard to investment—more consistent with the achievement of medium-term development objectives, and to associate the private sector closely both with the formulation and fulfilment of these objectives.

59. In any event, and despite the results which may be expected from better economic programming, it will be some years before industrial development will lead to an equilibrium of current transactions with foreign countries. Even if the inflow of private capital evolves favourably, a considerable amount of external aid—both technical and economic—will still be needed in view of Greece's requirements as a developing country. Close international co-operation should therefore be continued so that the Greek economy may pursue in the years ahead the progress that has already begun.

1. Cf. O.E.C.D. Survey of Greece, August 1963, paragraphs 33 to 54.

STATISTICAL ANNEX

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TABLE 1. ORIGIN AND USE OF RESOURCES

In million drachmae at constant 1954 prices.

	1960		1961		1962		1963	
	MILLION DRACHMAE	CHANGE SINCE PREVIOUS YEAR PER CENT	MILLION DRACHMAE	CHANGE SINCE PREVIOUS YEAR PER CENT	MILLION DRACHMAE	CHANGE SINCE PREVIOUS YEAR PER CENT	MILLION DRACHMAE	CHANGE SINCE PREVIOUS YEAR PER CENT
Gross National product	83,076	+ 4.7	92,656	+ 11.5	96,518	+ 4.2	104,016	+ 7.8
Import of goods and services[1]	16,468	+ 12.0	18,365	+ 11.5	22,673	+ 23.5	—	—
Total resources	99,544	+ 5.8	111,021	+ 11.5	119,191	—	—	
Private consumption	63,350	+ 4.6	68,178	+ 7.6	73,903	+ 8.4	79,219	+ 7.2
Public consumption	8,589	+ 2.5	8,810	+ 2.6	9,385	+ 6.5	9,843	+ 4.9
Gross capital formation[1]	15,381	+ 11.3	19,580	+ 27.3	19,970	+ 2.0	22,095	+ 10.6
—private[1]	10,286	+ 15.7	11,696	+ 13.7	12,269	+ 4.9	13,845	+ 12.8
—public	5,645	+ 34.9	6,484	+ 14.9	7,204	+ 11.1	6,850	+ 4.9
—changes in stock	— 550		1,400		497	— 64.5	1,400	+ 181.6
Export of goods and services	12,224	+ 8.3	14,453	+ 18.8	16,023	+ 10.9	—	—
Value of ships	9,334		6,550		3,350			

1. Excluding value of ships.

Source: Annual Greek questionnaire.

Table 2. INDICES OF ACTIVITY

	Weight basis		1962	1963	1962 1st qtr.	1962 2nd qtr.	1962 3rd qtr.	1962 4th qtr.	1963 1st qtr.	1963 2nd qtr.	1963 3rd qtr.	1963 4th qtr.	1964 1st qtr.	1964 April
Industry:														
General index	100.0	1959 = 100	123.4	132.5	110.8	139.4	134.7	118.3	118.3	144.0	154.0	131.2	130.5	139.3
Food	13.2	End of period	109.1	117.7	91.7	108.2	131.2	106.7	105.8	122.1	134.8	116.1	104.4	112.2
Tobacco	11.8	—	103.9	116.5	28.2	220.1	143.7	32.4	29.5	197.0	231.6	41.8	32.1	134.9
Textiles	18.2	—	125.7	129.7	125.5	115.7	139.7	135.4	130.1	126.5	141.4	134.9	143.5	135.8
Chemicals	9.1	—	135.3	146.1	134.8	132.0	132.9	143.3	144.2	145.7	141.8	171.0	163.2	178.7
Building materials	7.6	—	115.5	130.7	98.9	124.3	132.6	100.4	116.4	142.7	153.4	130.8	131.3	147.5
Basic metallurgical industry	3.2	—	163.7	186.1	157.6	173.4	181.6	147.2	144.8	160.2	231.9	262.1	254.8	308.6
Metal products	4.3	—	166.8	164.4	186.1	181.5	169.6	133.4	168.0	176.2	177.1	163.1	201.6	221.1
II. Electricity production		Monthly average mill. of kWh	226	259	224	211	227	253	249	245	257	287		
III. New housing (number of building licences)		Monthly average	2,341		1,627	2,744	2,988	2,006	1,683	3,290	3,022	2,117		
IV. Merchant navy:														
Total tonnage (thousand tons)		End of period	6,774	6,938	6,583	6,632	6,737	6,774	6,883	7,115	7,073	6,938	6,990	
Idle tonnage			1,110	365	334	436	888	1,110	942	555	488	365	279	
V. Tourism: Number of foreign tourists entering Greece (thousands)		Monthly average	47.1	59.4	19.1	55.9	86.0	27.5	20.0	69.0	108.2	34.4	24.5	51.5
VI. Employment and unemployment: Registered unemployed		1953 = 100 Thousands	75	70	84.4	75.2	64.7	80.0	89	72	56	62		
VII. Emigration: Permanent emigrants		Monthly average	7,004	8,339	5,022	6,902	9,051	7,041	6,745	7,994	10,069	8,549		

Source: Monthly Statistical Bulletin of Greece; O.E.C.D. General statistics.

Table 3. PRICE INDICES

		1962	1963	1962 1st qtr.	1962 2nd qtr.	1962 3rd qtr.	1962 4th qtr.	1963 1st qtr.	1963 2nd qtr.	1963 3rd qtr.	1963 4th qtr.	1964 2nd qtr.	1964 April
Prices:													
1. Index of retail prices	1959 = 100	104	107	103	104	104	105	107	107	106	107	108	108
of which: Food products		103	109	102	103	103	106	110	110	109	109	112	110
2. Wholesale price index (Athens-Piraeus Region)	1953 = 100	134	141	132	133	134	138	143	142	138	142	147	146
of which: Raw materials and semi-manufactured products		121	119	122	122	121	120	121	119	118	118	121	121
Manufactured products		129	131	129	128	128	131	131	130	130	132	132	133
Food products		133	144	129	130	133	139	149	146	138	143	150	147

Source: O.E.C.D. General statistics.

Table 4. FOREIGN TRADE (based on Customs statistics)

Million dollars.

		1961	1962	1963	1962 1st QTR.	1962 2nd QTR.	1962 3rd QTR.	1962 4th QTR.	1963 1st QTR.	1963 2nd QTR.	1963 3rd QTR.	1963 4th QTR.	1964 1st QTR.
Imports[1] (C.I.F.)	Monthly average	48.1	52.1	59.0	51.3	48.2	51.0	57.7	55.8	49.4	58.6	72.1	58.1
Exports (F.O.B.)	Monthly average	18.6	20.7	24.7	25.1	14.1	11.8	31.9	29.2	21.9	13.2	34.4	27.0
Trade balance	Monthly average	—29.5	—31.4	—34.3	—26.2	—34.1	—39.2	—25.8	—26.6	—27.5	—45.4	—37.7	—31.6
Terms of trade	1953 = 100	111	113	131	113	109	106	122	131	121	118	138	
Transfer of ships	Monthly average	11.4	6.4	8	7.2	12.8	1.5	3.9	—	11.8	12.4	7.9	

1. Excluding ships.

Source: Monthly Bulletin of the Bank of Greece; O.E.C.D. General Statistics.

Table 5. MONEY AND CREDIT (END OF PERLIOD)

Million drachmae.

	1961	1962	1963	1962 1st QTR.	1962 2nd QTR.	1962 3rd QTR.	1962 4th QTR.	1963 1st QTR.	1963 2nd QTR.	1963 3rd QTR.	1963 4th QTR.	1964 1st QTR.	1964 APRIL
MONEY SUPPLY:													
1. Notes in circulation	11,630	13,761	16,121	10,943	11,700	12,519	13,761	12,583	13,932	14,561	16,121	15,303	16,978
2. Coinage	547	601	681	515	530	550	601	567	583	607	681	675	702
3. Sight deposits	5,653	6,145	6,822	5,193	5,502	6,090	6,145	6,088	6,285	6,689	6,822	6,712	6,646
—of which: deposits of individuals and firms	3,931	4,176	4,537	3,599	3,881	4,134	4,176	3,986	4,169	4,513	4,537	4,284	4,322
4. Total available money	17,831	20,507	23,624	16,651	17,732	19,159	20,507	19,238	20,800	21,857	23,624	22,691	24,326
5. Savings deposits	12,863	15,521	19,837	13,545	14,253	14,731	15,521	16,527	17,939	18,777	19,837	20,448	
6. Time deposits	1,691	3,872	4,736	2,287	2,815	3,416	3,872	4,213	4,319	4,579	4,736	4,670	4,663
7. Other	1,930	1,930	2,771	2,056	2,000	1,927	1,930	2,245	2,590	2,693	2,771	2,798	2,743
8. Total deposits	22,137	27,468	34,166	23,081	24,570	26,164	27,468	29,073	31,133	32,738	34,165	34,626	34,870
CREDIT TO THE ECONOMY:													
9. Credit financed by the Bank of Greece	11,028	11,538	13,093	10,410	10,493	10,275	11,538	11,142	11,093	11,376	13,093	12,801	12,794
10. Credit financed by the commercial banks	12,802	16,065	20,854	13,033	14,575	15,786	16,065	16,256	18,882	20,380	20,854	20,880	21,674
11. Total credit to the economy	32,387	37,872	45,245	32,267	34,646	36,262	37,836	37,978	41,334	43,119	45,245	45,777	46,999
RATE OF INTEREST (end of period):	In percentage												
12. Official discount rate	6	6	5.5	6	6	6	6	6	5.5	5.5	5.5	5.5	5.5
13. Sight deposits	2	2	1.5	2	2	2	2	1.5	1.5	1.5	1.5	1.5	1.5
14. Savings deposits (up to 100,000 drachmas)	5	5	4.5	5	5	5	5	4.5	4.5	4.5	4.5	4.5	4.5
15. Time deposits (up to one year)	6	6	5.75	6	6	6	6	5.75	5.75	5.75	5.75	5.75	5.75
16. Basic rates of interest for credit to industry	8	8	7.5	8	8	8	8	7.5	7.5	7.5	7.5	7.5	7.5

Source: Monthly Bulletin of the Bank of Greece.

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